In 2023-24, India's agriculture exports amounted to $48.8 billion (Rs 4.1 lakh crore), 8 per cent lower than the previous year, one of the many reasons being restrictions on export of several agri commodities. India is a small player in the global agriculture produce trade now (less than 3 per cent share), but there is huge potential, provided it can produce reliable surpluses in agriculture, animal husbandry, dairy, fisheries and horticulture. Building modern infrastructure for the product categories in which we are globally competitive will be crucial in this. In the 10 years of the UPA government, agriculture exports rose from $8.7 billion (Rs 72,867 crore) in 2004-05 to $43.3 billion (Rs 3.6 lakh crore) in 2013-14. Since then, growth has been muted, initially due to depressed global prices and, lately, due to adverse weather conditions, which persuaded the government to impose restrictions on export of wheat, rice, sugar and even onions.

THE GIANT STEPS

↘ India has less than 3% share in the global agri produce trade. It needs to generate reliable product surpluses and build modern storage infrastructure for products where we are globally competitive

↘ In FY24, rice and marine products made up 35% of agri export earnings. The govt should insist on GI recognition for Basmati in FTA talks with EU. For marine products, it must provide grants for cold chain projects

Rice: Rice ($10.4 billion or Rs 87,110 crore) and marine products ($7.4 billion or Rs 61,986 crore) made up about 35 per cent of India's export earnings from agri products in 2023-24. Export of basmati rice was 5.2 million tonnes ($5.8 billion or Rs 48,580 crore). This was despite the imposition of a minimum export price. Most of this rice is sourced from Punjab, Haryana and Uttar Pradesh. Even if the efforts at crop diversification succeed, rice production and export are unlikely to go down as it is remunerative for farmers and is in high demand in West Asia, the UK and the US.

But pesticides not approved in Europe and the US have to be banned. Much progress has been made in educating farmers about the prudent, scientific use of chemicals. Basmati rice is not recognised as a GI (Geographical Indication) product by the European Union. So its unique identity, premium status and market value are adversely impacted. India has a strong claim in this regard and the government should insist on GI recognition in FTA (free trade agreement) negotiations.

Non-basmati rice exports went down from 17.8 MT ($6.4 billion or Rs 53,850 crore) in 2022-23 to 11.1 MT ($4.6 billion or Rs 38,700 crore) in 2023-24. Lower exports were due to restrictions on export of raw rice (non-basmati white rice) and broken rice, which is mainly exported to Africa. India produces about 20 MT of surplus rice that can be exported. More private investment will come in milling if the segment is kept free of sudden imposition of restrictions on exports.

Marine products: Frozen shrimp and fish are the major items of marine exports. That a network of nucleus breeding centres for shrimp brood stocks is to be established is good news. The marine sector faces environmental challenges due to overfishing, habitat destruction and climate change. Seafood also requires an integrated cold chain and high-capacity chilled warehouses. The ministry of food processing industries (MoFPI) must provide grants for cold chain projects of marine products.

Spices: Export of spices earned the country $4.5 billion (Rs 37,900 crore) in 2023-24, but it is becoming more challenging due to stricter global norms on pesticide residues, microbial contamination and purity. In May, Hong Kong, Singapore and Nepal restricted import of spices from reputed Indian companies because they exceeded the limit of ethylene oxide. Post-harvest processing infrastructure needs support and investment to meet the stringent requirements of traceability and certification.

Dairy and buffalo meat: Buffalo meat exports peaked at $4.4 billion (Rs 37,032 crore) in 2013-14 but dropped to $3.7 billion (Rs 31,140 crore) by 2023-24. The meat trade has faced restrictions and violence during transport of animals. As a result, the volume and value of exports have gone down. We have 72 modern integrated abattoirs meeting global norms for safety and standards, but the West does not allow import of meat from here as India does not meet the standards of the World Organisation for Animal Health (WOAH). Dairy products from India are also not permitted into the EU on grounds of foot and mouth disease and non-compliance with WOAH regulations. India needs to take up the issue during FTA negotiations with the EU and the UK.

India's share in the export of processed foods globally is only 1-2 per cent currently. The government, in association with the private sector, must carry out a strong branding exercise in developed markets, focusing on the diversity and the non-GMO (genetically modified organism) quality of Indian produce.

India has a big opportunity to build on the success of grapes and banana exports. In 2023-24, we exported around 400,000 tonnes of grapes worth $417.1 million (Rs 3,509 crore). A system of traceability coupled with reliable cold chains enabled this. Banana has also been a success story of Indian horticulture; in 2022-23, we exported produce worth $176 million (Rs 1,481 crore). Once APEDA (Agricultural & Processed Food Products Export Development Authority) finalises the sea protocols for fresh fruits and vegetables, India has an opportunity to substantially increase exports. Meanwhile, exports of wheat, rice and sugar are facing a challenge in the WTO from the US, EU, Brazil and Australia, among other nations. So, an emphasis on the diversification of the export basket is necessary. ■

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Illustration by **NILANJAN DAS**